

India’s New 0.4% UPI MDR: What the Recent News Says

News update: September 2026

India is set to introduce a new Merchant Discount Rate (MDR) of 0.4% on certain UPI person-to-merchant (P2M) transactions above ₹2,000 from **15 October 2026**. The announcement marks a major change after years in which UPI transactions operated under a zero-MDR framework.

Importantly, the 0.4% charge is an **MDR paid by eligible merchants**, not a new transaction tax directly charged to consumers. Person-to-person (P2P) transfers remain free, while UPI merchant payments up to ₹2,000 will also remain outside the new MDR framework. Eligible transactions above ₹2,000 will generally face a 0.4% rate, with the charge capped at ₹300.

Small merchants are receiving special protection. Vendors classified under the P2PM category, including small merchants receiving up to ₹1 lakh per month through their UPI QR codes, are exempt from the new MDR. Certain essential categories, including railways, telecom, fuel and insurance, will instead face a flat ₹5 charge on qualifying transactions above ₹2,000. Capital-market services such as mutual funds and stockbroking have a lower 0.02% MDR, subject to the applicable cap.

The government and NPCI say the revenue will help support the UPI ecosystem, including infrastructure resilience, cybersecurity, fraud prevention, innovation and customer service. The change also responds to concerns from banks and payment companies about the growing cost of operating UPI at enormous transaction volumes.

The announcement has generated debate. Supporters cited in recent reporting argue that a sustainable revenue model is necessary as UPI scales. Critics have raised concerns that merchants could ultimately try to recover the cost from customers or that some users could shift toward cash. The government has said it will monitor implementation and prevent merchants from passing the MDR directly to consumers. There is also **no separate GST on UPI transactions**; GST treatment of MDR is distinct.

Key facts at a glance

Effective date	15 October 2026
Standard MDR	0.4% on eligible P2M UPI payments above ₹2,000
Maximum MDR	₹300 per transaction
Consumers	UPI remains free under the stated framework
P2P transfers	No MDR
Small P2PM merchants	Exempt, subject to eligibility

Sources: Reuters (16 Sep 2026); The Indian Express (17–18 Sep 2026); Business Standard (16 Sep 2026); India Today (17 Sep 2026).